

Buying in

There are several different kinds of investors who choose to buy shares in companies. Some are private individuals, but a large proportion of shareholders are commercial concerns, such as investment companies, pension funds, and banks. Governments also buy shares in privately owned companies, not only as an investment to share in the profits, but also to have some control over the company—they may even buy the majority of the shares to bring the company into public ownership, for example, if they need to bail out a failing bank.

In addition to this public investment in commercial businesses, state-owned enterprises such as national health-care systems, prisons, railroads, or energy companies, may also offer a share of that business to private investors. This will raise money for the government to invest in these services in addition to the funds gleaned from taxes.



FRIEDRICH HAYEK (1899–1992)

A leading economist of the Austrian School, and joint winner of the Nobel Prize for economics in 1974, Hayek was born and studied in Vienna. He taught at the London School of Economics, before moving to the University of Chicago. Strongly anti-communist, Hayek developed free-market economic theories centered on privately financed businesses, free from government control.



Borrowers often have to provide security, such as a building they own, which they may lose if they default.

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